The market

1.3.1.1 Meeting customer needs · Unit 1 · Mr. Akram — Akademy

Mass & niche markets

- **Mass market** — standardised product to a large, broad audience (Coca-Cola). High volume and economies of scale; but intense competition and low margins.
- **Niche market** — a small, specific segment (Ferrari; Lehman's). Less competition and premium prices; but limited volume and higher risk if tastes shift.

Market size, share & growth

- **Market size** — total sales, by value (price × quantity) or volume (quantity).
- **Market share** = (firm's sales ÷ total market sales) × 100. E.g. 100,000 / 500,000 = 20%.
- **Market growth** = ((new – old) ÷ old) × 100. E.g. £1.2bn → £2.9bn = +141.7%.

Adding value

Added value = price a customer pays – cost of inputs. Added through branding, design & quality, convenience (e.g. Ocado), customer service and a USP. It raises revenue and loyalty, but extra services raise costs, so value must be added efficiently.

Product differentiation

Making a product stand out from rivals (design/features, quality/ingredients, branding/image) to build loyalty and justify a premium. The goal is a strong USP; too high a premium can still lose price-sensitive customers.

Competition & dynamic markets

- **Direct** — same product, same market (Nike vs Adidas).
- **Indirect (substitutes)** — different products, same need (train vs flight).
- **Dynamic markets** change fast (online retailing — over half of purchases online; 'clicks' and 'bricks and clicks'; music streaming). Firms must keep adapting.

More competition usually means lower prices, more choice and better quality for customers — but can bring cost-cutting, hidden charges, or less choice if weaker firms exit.

Risk & uncertainty

- **Risk** — probabilities can be estimated and planned for; the entrepreneur controls how much to take and can reduce it.
- **Uncertainty** — unexpected external factors outside control (competitors, disasters, pandemics, economic/political change); outcomes can't be predicted, only managed once they occur.